



The Morning Brief

MAY 8, 2026

Hormuz Reignites

Ceasefire framework cracks as US destroyers trade fire with Iran in Hormuz; tape consolidates from records into soft April NFP.

SPY \$731.58 ↓0.31%	FTNT \$107.97 ↑20.03%	BRENT (BNO) \$53.67 ↑0.26%	BITCOIN (IBIT) \$45.40 ↓1.71%	FEAR & GREED 38 · Fear
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SECTION 01

Markets

RECORDS PAUSE AS HORMUZ CLASH PULLS RISK LOWER — RUSSELL & CYCLICALS CARRY THE WEIGHT

Thursday closed with SPY at \$731.58 (−0.31%) and Nasdaq at \$694.94 (−0.12%) after the indices set fresh records on Wednesday, with the Dow giving back 0.63% to \$495.91 and the Russell 2000 the cleanest expression of the risk-off rotation at −1.58% to \$282.26. The session opened higher and traded back through the Wednesday closes once Reuters and CBS confirmed the US Navy destroyers USS Truxtun, USS Mason, and USS Rafael Peralta had absorbed an Iranian missile, drone, and small-boat assault transiting the Strait of Hormuz, with the US responding with self-defense strikes against Iranian command-and-control nodes near Bandar Abbas and Qeshm per CNN and UPI reporting. Energy (XLE) led the sector decline at −1.84%, Materials (XLB) −1.93%, and Industrials (XLI) −1.62% — the cyclical/inflation-hedge complex that had carried Wednesday's tape unwound first. UVXY declined a further 1.46% to \$35.84, a notable signal that implied vol did not lift commensurate with the geopolitical shock; that combination — index pullback from records on a clear risk catalyst with vol still bid lower — is consistent with positioning trim rather than fundamental repricing.

FTNT BECOMES THE TAPE'S CLEANEST PRINT — CYBERSECURITY SLEEVE REPRICED ON Q1 BEAT & RAISE

FTNT closed Thursday at \$107.97 (+20.03%), what Yahoo Finance characterized as a fresh record on the Q1 print: \$1.85B revenue (+20% Y/Y), \$645M product revenue (+41% Y/Y), \$2.09B billings (+31% Y/Y), and \$1.01B free cash flow per the company's release on StockTitan and Benzinga coverage. Management raised FY2026 revenue guidance to approximately 15% growth and lifted Q2 guidance ranges per the same materials. The +20.03% advance against the otherwise −0.31% SPY tape made FTNT the largest single-name IOWN move of the day and reframes the cybersecurity sleeve's positioning into a period where Iran-related cyber risk

and OT-security demand remain elevated. ChartMill characterized the read across the cybersecurity complex as the standout sub-theme amid the geopolitical noise. The print also reduces the bar that subsequent IOWN cybersecurity-adjacent reports need to clear and supports the broader physical-AI-infrastructure thesis on the connectivity layer.

QCOM EXTENDS, AMD DIGESTS, CRYPTO SLEEVE PULLS IN — MIXED PICTURE BENEATH THE INDEX TAPE

QCOM advanced 5.18% to \$202.55 on continued read-through from Tuesday's \$20B buyback and hyperscaler-data-center commentary per CNBC and Benzinga; ADP added 3.33% to \$214.09, and NVDA finished +1.77% to \$211.50

ahead of its May 20 print per WallStreetHorizon. The post-event AMD reaction was a more typical consolidation: AMD gave back 3.07% to \$408.46 from Wednesday's +18.61% move, with the AI-edge cohort softer in sympathy — LRCX -3.58% to \$286.52, NXPI -4.39% to \$290.22, MRVL -7.05% to \$160.01, CRDO -5.04% to \$188.29. The crypto sleeve also pulled back: HUT -7.12% to \$101.18 unwinding part of Wednesday's +35.31% Hut 8 print per Benzinga, MARA -2.53% to \$12.70, IBIT -1.71% to \$45.40, ETHA -2.37% to \$17.30 with Bitcoin trading near \$79,300 per Spotted Crypto and BlockchainReporter coverage after the \$82,000 weekly high earlier in the week. Carson's SPY \$645.80 support remains active and well below current levels — Thursday's intraday low of \$729.75 represents a wide retracement window.

SPY / NASDAQ / RUSSELL	\$731.58 ↓0.31% · \$694.94 ↓0.12% · \$282.26 ↓1.58%
FTNT	\$107.97 · ↑20.03% · Q1 beat & raise
QCOM · ADP · NVDA	\$202.55 ↑5.18% · \$214.09 ↑3.33% · \$211.50 ↑1.77%
AMD DIGESTION	\$408.46 · ↓3.07% post the +18.61% Wednesday print
ENERGY & MATERIALS	XLE ↓1.84% · XLB ↓1.93% · XLI ↓1.62%
CRYPTO SLEEVE	IBIT ↓1.71% · ETHA ↓2.37% · HUT ↓7.12% · MARA ↓2.53%
FEAR & GREED	38 · Fear (was 47 Neutral)
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested

When implied vol declines into a geopolitical shock and the Russell carries more of the decline than the index complex, the tape is communicating positioning trim rather than thesis breakdown. The committee's working framework remains: physical-AI infrastructure is the higher-conviction sleeve, the energy book carries the binary, and cybersecurity has just delivered the cleanest single-print validation. Research Reveals Opportunities.

Geopolitics

HORMUZ REIGNITES — THREE US DESTROYERS TAKE FIRE, US STRIKES IRANIAN C2 AROUND BANDAR ABBAS & QESHM

The USS Truxtun, USS Mason, and USS Rafael Peralta absorbed what CBS, CNN, and ABC characterized as a coordinated Iranian assault of missiles, drones, and small boats while transiting the Strait of Hormuz to the Gulf of Oman; per the US military readout, no US assets were struck, and US helicopters sank multiple fast-attack boats. The US response targeted Iranian missile-and-drone launch sites, command-and-control nodes, and intelligence/reconnaissance positions in multiple Iranian locations including Bandar Abbas and Qeshm per UPI and TWZ coverage. Trump separately stated via Truth Social that Iran would face escalation at a materially higher level and intensity if the framework is not finalized, and Reuters reported him commenting that the ceasefire still holds despite the clash. Senior Iranian voices have publicly hardened: Mohsen Rezaee said Tehran would not let the US reopen the Strait with what he characterized as an unrealistic plan, and a senior Iranian parliamentarian dismissed the reported framework as more an American wish list than a reality per Times of Israel coverage. The committee may reasonably treat the framework window as narrowing rather than closed: Iran continues to review the proposal via Pakistani intermediaries per the Iranian Foreign Ministry, but the underlying questions on uranium custody, sanctions architecture, and Hormuz transit appear less tractable than the Wednesday tape implied.

TRUMP–XI BEIJING SUMMIT SIX DAYS OUT — HORMUZ REOPENING REPORTEDLY THE LEAD TOPIC

Per Brookings, CNBC, and Washington Post coverage, the Trump–Xi Beijing summit on May 14–15 will now sit against an active Hormuz exchange rather than a stabilizing ceasefire, and US Treasury Secretary Bessent has publicly framed Iran as a primary topic at the meetings. CNBC reported separately that Iran focus may delay progress on tariffs and rare earths at the summit. Chinese Foreign Minister Wang Yi called for an immediate end to hostilities and pressed Iran toward a diplomatic resolution per CNBC reporting. The IOWN defense exposure (LMT \$512.41 –0.36%, GD \$347.76 +0.14%) sat essentially flat on Thursday in a tape that pulled the cyclical complex lower, consistent with the framework-breakdown hedge functioning as intended; Reuters separately reported that Secretary Rubio approved \$25.8B in weapons sales to Mideast nations, a forward marker for the defense

backlog regardless of the framework outcome. Toyota disclosed a \$4.3B expected Iran-war hit per Reuters — a useful reminder that the second-order earnings impacts of the conflict are now being reported by individual issuers rather than priced as a sector-wide war-risk premium.

HORMUZ CLASH	3 US destroyers under fire · US strikes Iranian C2 sites
TRUMP POSTURE	Warns of materially higher level and intensity if framework rejected
IRANIAN POSTURE	Senior MP characterizes framework as an American wish list
TRUMP–XI SUMMIT	May 14–15 Beijing · 6 days out
CRUDE REACTION	BNO ↑0.26% · USO ↑0.76% · Modest rebound
DEFENSE HEDGE	LMT \$512.41 · GD \$347.76 · Rubio approves \$25.8B Mideast weapons

On Our Radar

1. April Nonfarm Payrolls at 7:30 AM CT — consensus near +62K versus +178K prior, with unemployment expected to hold at 4.3%. Per the data drop, Non-Farm Payrolls is expected at 62K against 178K prior; the unemployment rate is expected at 4.3% with Average Hourly Earnings YoY at 3.8% versus 3.5% prior and AHE MoM at +0.3% versus +0.2%. The April ADP private-payrolls print released Wednesday came in at 109K against an expected 99K per CNBC, framing the BLS release as the second leg of the April labor read; estimates from Wall Street range as low as +50K (Goldman Sachs) up to +120K (Fifth Third Commercial Bank) per Kiplinger and Morningstar coverage. Rate-sensitive IOWN holdings (NEE -2.17% to \$93.32, BKH +1.76% to \$75.22 post-print, ATO -1.57% to \$181.86, DGX +0.90% to \$190.84) carry the principal sensitivity to a soft headline that would tilt the policy expectation toward an earlier cut. *Think Like an Owner.*

2. Michigan Consumer Sentiment Preliminary at 9:00 AM CT — consensus 49.5 from 49.8, would mark a continuation near record-low territory. Per the data drop, Michigan Consumer Sentiment Preliminary is expected at 49.5 versus 49.8 prior, with the 5-year inflation expectation prior at 3.5%. Trading Economics characterized the April final at 49.8 as the weakest reading on record with year-ahead inflation expectations at 4.8% from 3.8% in March. The combined NFP-and-sentiment morning will frame whether the soft-data pessimism continues to diverge from the hard-data resilience — a divergence the committee has tracked since the Iran-war shock began moving through the consumer survey complex. Fed Cook speaks at 4:45 AM CT, providing a forward marker on how the April-meeting dissents may be reframing the policy outlook.

3. COIN missed Q1 with a \$394M GAAP net loss against a positive consensus — the trading-volume slowdown was the operational binding constraint. Coinbase reported \$1.41B revenue against a \$1.52B consensus per CNBC and Yahoo Finance, with transaction revenue of \$755.8M against \$805.2M expected and subscription revenue of \$583.5M against \$619.3M expected. Crypto Times characterized the print as a paradox: a record 8.6% trading market share alongside a \$394M GAAP loss, with derivatives volume up 169% Y/Y to approximately \$4.2B per the company materials. COIN finished Thursday -2.53% to \$192.96 with a further indicated decline in after-hours per Yahoo coverage. The miss reframes the digital-sleeve operational read: spot-ETF positioning via IBIT and ETHA (which are themselves also softer Thursday at -1.71% and -2.37%) captures the asset-class direction without the company-specific operational variance the COIN print just made visible. *Avoid Erosion.*

4. HRMY missed at \$0.55 against a \$0.73 consensus and CWAN's \$8.4B go-private deal advances toward a Q2 close — two IOWN names with company-specific paths divergent from the broader tape. HRMY reported Q1 revenue of \$215.4M (+17% Y/Y on WAKIX) per the company release on PharmiWeb and BioSpace, with EPS of \$0.55 below the \$0.73 consensus and management reaffirming FY2026 guidance of \$1B-\$1.04B. HRMY finished -4.15% to \$31.42 with an intraday low of \$28.86. CWAN matched at \$0.16 EPS on \$221.2M revenue (+74% Y/Y) per StockTitan and Business Wire, with the previously announced \$8.4B Permira/Warburg Pincus take-private at \$24.55 per share targeted to close in Q2 subject to FIRB approval. CWAN finished essentially flat at \$24.30 (+0.12%), tracking the deal price.

5. CTRA exits the S&P 500 today on the Devon merger close — Devon launches an \$8B buyback alongside the integration. Per the data drop, CTRA finished Thursday at \$32.56 (-8.62%); Yahoo coverage of Devon's post-merger announcement indicates an \$8B buyback program now sits alongside the integration, with CTRA holders receiving 0.70 Devon shares per CTRA share at the close per the merger materials. The Permian-consolidation thesis remains validated; the post-merger Devon position carries forward IOWN's exposure to the broader US shale framework with the larger production base. Veeva replaces Coterra in the S&P 500 ahead of today's open per S&P Dow Jones Indices.

6. Fear & Greed slipped to 38 (Fear) from 47 (Neutral) Wednesday on the same SPY tape that traded only -0.31% — a sharper sentiment move than the index decline implies. The 9-point intraday slide in the gauge against a sub-1% index pullback is consistent with the Hormuz clash repricing the put-call and survey contributors faster than the equity tape itself moved. The signal is worth observing rather than extrapolating: the AMD print and FTNT print structurally validated two of the three IOWN sleeves in this same trading week, while the geopolitical track is the third leg the gauge is now penalizing. *Simplicity Over Complexity.*

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